International Economics (T6) **February 18, 2026**

Dollar as a Reserve Currency

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1 What is a Reserve Currency?

A reserve currency is a foreign currency that is held in significant quantities by central banks and other major financial institutions as part of their foreign exchange reserves. These currencies are used to facilitate international trade, settle international debts, and perhaps be used to influence domestic exchange rates. The dominant reserve currency today is the United States dollar (USD).

The most *important thing that countries look for in reserves is that they want to be sure, they can access their reserves in moment of need,i.e. they should be able to accumulate or liquidate their reserves.*

2 What makes the Dollar the Reserve Currency ?

1. **International Trade** Dollar remains the currency of choice for international trade. Major commodities, such as, oil is bought and sold in US Dollars. In short, every country wants the USD. In a recent study by economists at the IMF, an overwhelming extent of trade invoicing is found to take place in USD and Euro (see Boz et al. (2022)).

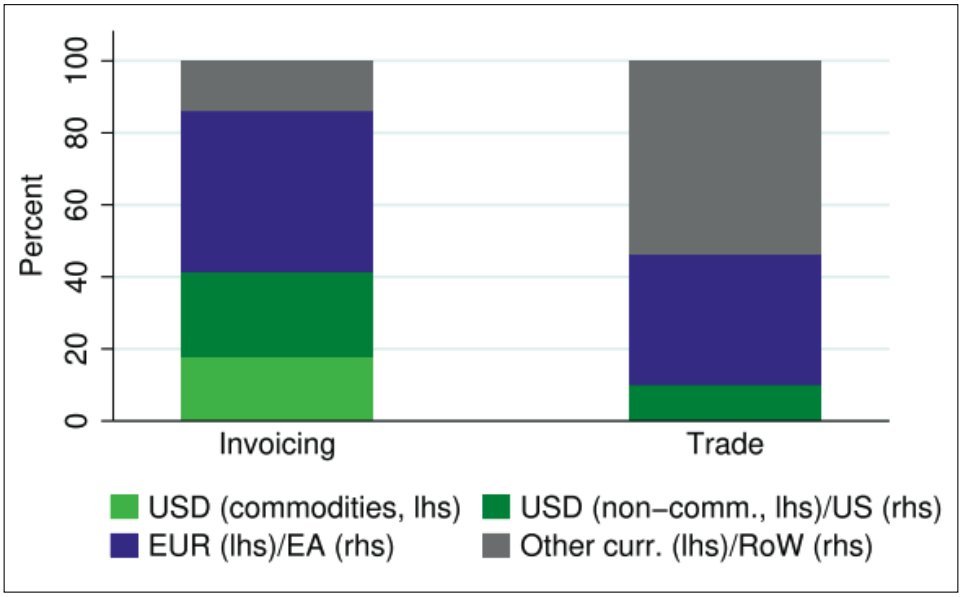
2. **Forex Reserves** Majority (92%) of Foreign Exchange Reserves of all countries are denominated in USD (See fig. 2). These reserves include USD Currency, USD-denominated assets (US treasury securities).

3. **US Treasury Market**, is the largest asset market denominated in USD (around at 27.25 Trillion[1]) and is open to capital inflows and outflows. This most liquid asset market allows people to store or offload their FX reserves. The USA does not impose capital controls.

4. **USA's geopolitical heft**, lends USD credibility. By virtue of being the largest economy in the world, it can, technically speaking, payback what it owes. It is backed by military and industrial might.

[1] As per Marketable US Treasury data for July 2025 from FRED

Figure 1: Currency of Global FX reserves



Source: Boz et al. (2022)

3 Benefits and Losses owing to the US Dollar to USA

3.1 Benefits

The country whose currency is the primary reserve currency enjoys several advantages, often referred to as an "*exorbitant privilege*", a term used by Valéry Giscard d'Estaing, the then French Minister of Finance in the 1960s.

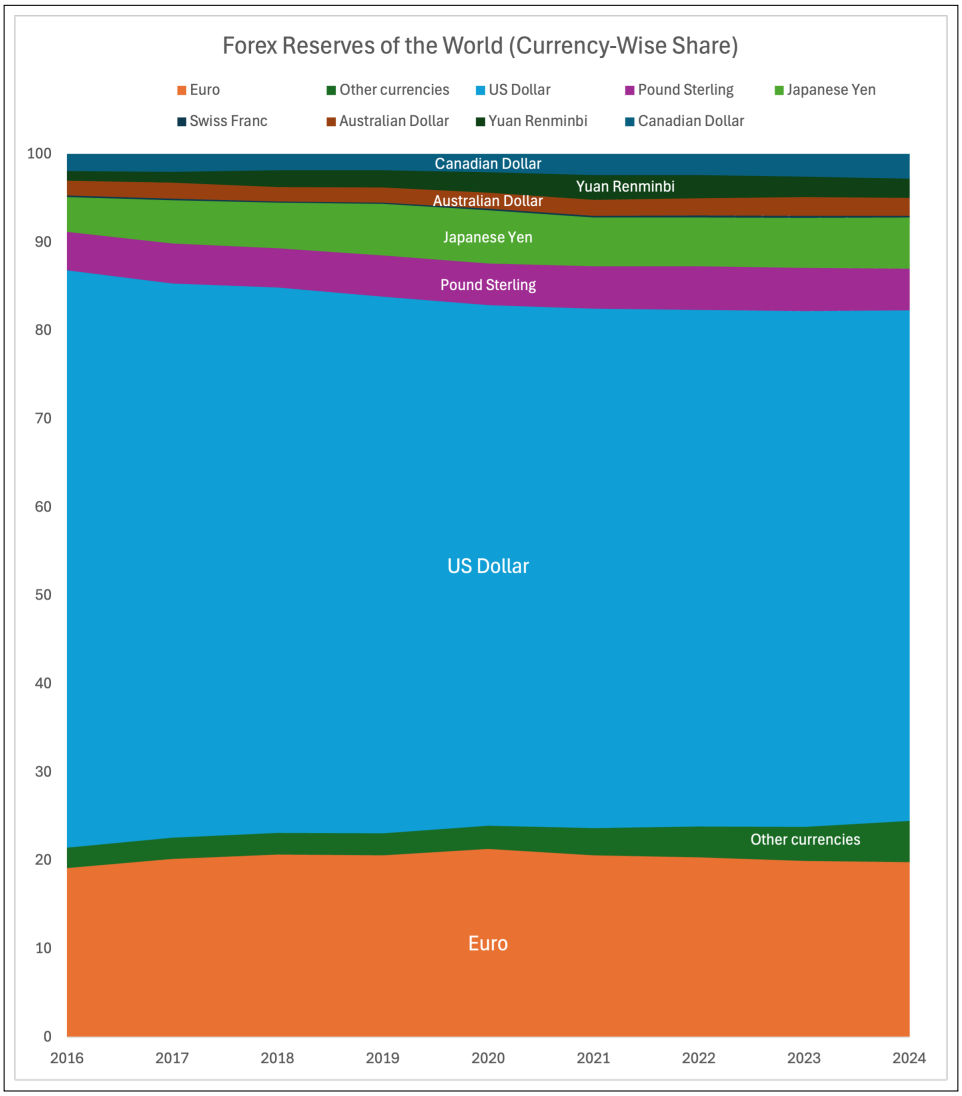
Cheap financing abroad: When the US ran trade surpluses, it had to send its capital abroad (remember the $S - I = NX$). the global hunger for the USD, meant that the USA could invest cheaply abroad (i.e. get more in exchange rates).

Lower Borrowing Costs: In the era, where the USA now runs huge trade deficits, high demand for USD and its government bonds from foreign central banks helps to keep interest rates lower than they would otherwise be.

Reduced Transaction Costs: Domestic businesses and individuals can conduct international transactions in their own currency, eliminating exchange rate risk.

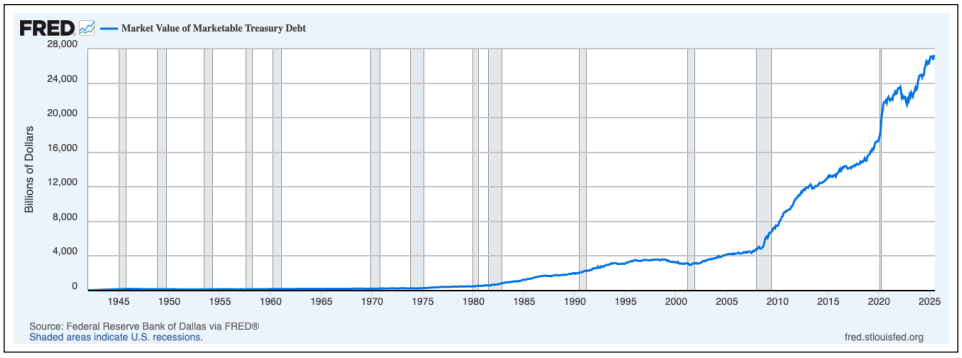
Seigniorage: The issuing country can essentially "export" its inflation by printing more money that is then held by other countries.

Figure 2: Currency of Global FX reserves



Source: IMF COFER Database (Author's calculation)

Figure 3: Market Value of US Treasury Market



Source: FRED, Federal Reserve of St. Louis

3.2 Losses

High-cost for exports: Since the Dollar is always in perpetual demand, the USA had to de-industrialize in many industries and locations: e.g. *Rust Belt* and *Detroit (Car manufacturing)*.

The way this works is as follows:
Strong Dollar $\implies$ High exchange rate (e.g. 1 US \$ = ₹85) $\implies$ Costly American Exports

4 Dollarization and De-dollarization

Dollarization is when a country begins to recognize the U.S. dollar as a medium of exchange or legal tender alongside or in place of its domestic currency. This typically occurs when the local currency has become unstable and has lost its usefulness as a medium of exchange.

De-dollarization De-dollarization refers to the reduction of the reliance of foreign countries on the US dollar. This phenomenon generates concern about the U.S. dollar as a global currency.

Spearheading this initiative is BRICS, an intergovernmental organization founded by Brazil, Russia, India, China, South Africa that recently expanded and now includes Iran, Indonesia, Egypt, Ethiopia, Saudi Arabia and the United Arab Emirates. As of date, ten countries comprise the BRICS.

A potential BRICS currency was mooted as a part of a strategy of de-dollarization — the substitution of the dollar as the primary currency for international financial transactions. The U.S. trade war with China, as well as U.S. sanctions on China and Russia, are central to this ongoing discussion. But, nothing concrete came out of this.

The BRICS has also created the BRICS Bank in 2015. Now known as the New Development Bank, or NDB, it mobilizes resources for infrastructure and sustainable development projects in the BRICS and other emerging market economies and developing countries.

Yet, despite these stated aims and theoretical possibilities, in the context of global currency invoicing in international trade, a significant proportion is still denominated in U.S. dollars, a pattern that has remained largely unchanged post-COVID-19 pandemic and the Russian invasion of Ukraine. The share of global forex reserves and forex turnover is still dominated by the US Dollar (Gerding and Hartley, 2024). Close to 88 percent of over-the-counter (OTC) forex and derivatives instruments are in US dollars.

5 Video

You might be tired of reading and absorbing the ideas. So, here is a fun short videos on Youtube:

1. The Council of Foreign Relations Education Channel Why is the US Dollar So popular around the World?
2. Wall Street Journal - US Dollar in World Trade
3. BRICS and De-dollarization - BRICS alternatives to US Dollar - What is the ambition?

References

Boz, E., Casa, C., Georgiadis, G., Gopinath, G., Mezo, H. L., Mehl, A., and Nguyen, T. (2022). Patterns of invoicing currency in global trade: New evidence. *Journal of International Economics*, 136.

Gerding, F. and Hartley, J. S. (2024). De-dollarization? not so fast. *Economics Letters*, 238.